

Tesla, Inc.
TSLA NASDAQ

Hold	\$362.79 ▼ 0.93%	12M Price Target \$385.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.43T
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TSLA: Robotaxi Hype Meets Reality Check From Skeptics

WHAT HAPPENED

- Stock slipped ~0.9% to \$362.79 after Steve Eisman (the "Big Short" guy) publicly said TSLA's valuation only works if you believe Robotaxi "conquers the world" — and he's a skeptic. That matters because Eisman moves sentiment and his comment reinforces what a lot of institutional money already whispers: the core auto business doesn't justify a \$1.43T market cap.
- Second overhang: a Motley Fool piece reminded everyone TSLA has fallen after each of its last 4 delivery reports — even the good ones. October delivery data is coming, and traders are pre-positioning defensively (see the unusual put activity below).

WHY IT MATTERS

The options tape is screaming caution — someone bought \$100M+ in near-dated puts at the \$365-370 strikes at 20x+ normal open interest. That's not retail; that's a fund hedging or betting on a drop into the delivery print. Combine that with the CFO selling ~\$940K in shares and Eisman's public skepticism, and you get a market that's nervous about paying 168x forward earnings for a company whose auto deliveries are flatish. The bigger picture: TSLA is now a bet on Robotaxi/Optimus execution, not cars — and every quarter without meaningful Robotaxi revenue makes the multiple harder to defend.

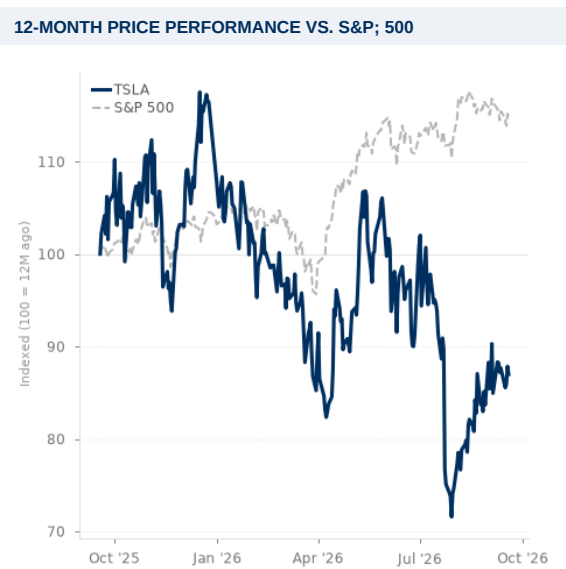
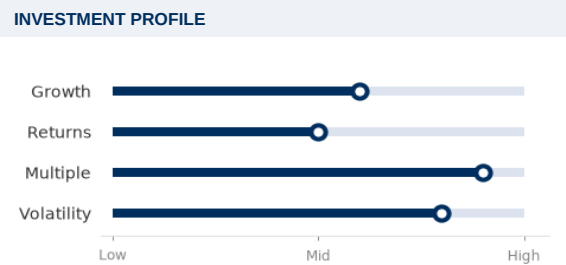
POLICY & POLITICAL WATCH

The single biggest policy overhang: the \$7,500 federal EV tax credit was killed under the Trump administration's "One Big Beautiful Bill" earlier this year, which structurally hurts TSLA's US demand — though Musk has spun it as "actually good for Tesla" because it hurts competitors more. Watch two things: (1) NHTSA's ongoing FSD/Autopilot investigations, which could either bless or block the Robotaxi rollout in more cities, and (2) US-China tariff dynamics — Tesla's Shanghai Gigafactory (subject of today's Barron's piece) is both a huge asset and a huge tariff-risk exposure if trade tensions escalate. The regulatory environment for autonomous vehicles is actually getting *friendlier* federally (fewer safety mandates, more state-by-state permissioning), which is a quiet tailwind nobody's pricing in yet.

IS IT EXPENSIVE?

Investors are paying ~168x next year's earnings and roughly 13x revenue — for context, Ford trades at ~7x earnings and 0.3x revenue. So you're paying 20x more per dollar of sales than a traditional automaker, which is only rational if you believe Robotaxi and Optimus turn Tesla into a software/robotics company with 40%+ margins. At 32% of its 52-week range (\$297-\$499), the stock isn't cheap but it's not euphoric either — it's in "prove it" territory.

Key Data	
Price (USD)	\$362.79
12M Price Target	\$385.00
Upside / (Downside)	+6.1%
Market Cap	\$1.43T
FY2026E Revenue	\$112M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	168.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$390.00	\$365.00	\$335.00
6 Months	\$450.00	\$380.00	\$300.00
1 Year	\$500.00	\$385.00	\$280.00
2 Years	\$600.00	\$420.00	\$240.00
5 Years	\$850.00	\$500.00	\$200.00
10 Years	\$1200.00	\$650.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.11% today, but the only green sector) — oil is finding a bid on Middle East tension and the administration's drill-baby-drill posture. Autonomous/AI infrastructure names are quietly getting bid as Waymo's expansion validates the category.

COOLING OFF: Consumer Discretionary (-0.48%) and Industrials (-2.22% on the week) — the market is worried about consumer spending as student loan payments bite and tariff pass-throughs hit goods prices. This is a direct headwind for TSLA since auto is discretionary.

ROTATION WATCH: Money is rotating OUT of high-multiple growth (where TSLA lives) and INTO defensives and energy — that's why TSLA can't get real lift even on good news days.

RELATED PLAY: If you like the autonomous story but hate TSLA's multiple, GOOGL (Waymo) is the smarter way to play it — today's 24/7 Wall St piece is the third bullish Waymo note this week, and that's a real competitive threat to Tesla's Robotaxi narrative.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Waymo is now doing 200K+ paid rides/week and expanding faster than Tesla's Robotaxi — the market is starting to price this in.
- BYDDY (BYD): Eating Tesla's lunch in China and Europe with cheaper EVs and better margins — outperforming TSLA YTD.

TSLA CONTEXT: TSLA is lagging both the autonomous leader (GOOGL) and the EV volume leader (BYD), which is a bad look when you're priced like you're winning both races. Until Robotaxi shows real scale, TSLA will keep trading like a "story stock waiting for the story."

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$310-330 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls in a major city OR auto gross margins fall below 15%

Hedging: Long a cheaper AI-exposed name (GOOGL for Waymo optionality) as a pair trade